go up for Indian startups to succeed," notes Madanagopal.

IoT startups have the potential of widespread growth provided they have three things in place—the ability to see a distinct value proposition (enables them to change the way they are doing things), ability to provide their solution at a reasonable price point, and, most importantly, being able to enhance the customer's post-purchase experience through a well-tracked distribution and post-sale service. "Once we are able to crack this, IoT is going to exponentially grow to a very significant level given the kind of market opportunity that India offers," says Madanagopal.

It is anticipated that India is in line for a heavy demand, and it is essential to be prepared. A solid infrastructure is needed that can actually develop the hardware, software, and data in a lesser time and reduced cost when compared to countries like China or Taiwan. "The applications are limitless when we look at the horizontals that it can cover, and I am a firm believer that together in terms of our own technology as well as our business acumen, we can do wonders," adds Porwal.

IoT space promises immense opportunities to scale. With an increase in terms of data points that ultimately lead to the beginning of the machine learning and artificial intelligence era, it shows the beginning of a blossoming future alongside IoT.

How to grow in IoT

Like every other business segment, the IoT sector is also driven by luck and risk. Both of these exist in the same box, but individuals, startups, and enterprises need a forecasting vision to differentiate between them. The concept which can help foresight success or failure can be determined by performing an exercise known as IoT Readiness Assessment (IRA).

The IRA, designed by Elecbits Technologies Private Limited as one of the micro-services on their online platform, helps in creating precise estimations for an IoT business. If the concept has to be summarised, the IRA says the chance of success in IoT is determined by three factors, which are:

1. The problem. The problem that is being solved needs to be a hair-pulling problem that is not an extension to any existing solution. The startup or individual should focus on the solutions that can go from zero to one. For example, a smart switch is an extension to a normal switch, but creating an IoT ventilator that is cost-effective, space-effective, and takes less time to set up cannot be avoided by those who are in urgent need of that. Your solutions must focus on a particular audience, but it should either save their time, money, or effort.

2. The R&D and PFM. Once the problem is measured and scaled as a non-avoidable problem, the next step is heavy expenditure on the R&D to achieve initial product-market fit. Risk reduction here includes usage of pre-existing modules of gateways, sensors, and enclosures. which provide a push start for easy and effective product market testing.

3. Scalability. An efficient IRA score can be achieved by pushing a lean model where hardware is subscribed rather than being purchased. For example, paying $100 initially for ten devices vs paying $1 each for ten devices for twelve months can help divert money to operations. This can be done by negotiating with multiple vendors and winning a high credit score to deliver an EMI-like model where payment is made from earnings rather than investment.

If the basic principle of IRA is followed, a highly effective growth path in the IoT sector can be achieved. From the three steps presented above, the most common mistake that IoT startups make is the selection of the problem statement. If this can be viewed correctly, the company is already on the path to being successful.

As explained by Saurav, CEO of Elecbits, "The problems in IoT need to be measured by something which is not going to change over the period. For example, (1) Nobody will ask you to increase R&D expenditure for a particular product; people always want faster and cost-effective R&D. (2) Nobody will ask you to increase the cost of the final product (PCB, enclosures, and components); people want cost-effective products. Always concentrate on the problem which is not going to change over a while." EFY

The article is based on the panel discussion 'IoT Startups: What Makes India Special' during July edition of Tech World Congress 2021. It is prepared by Siddha Dhar, a business journalist at EFY.

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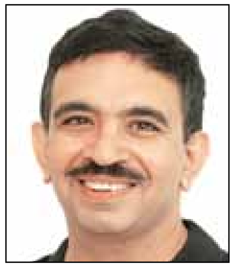

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